

BREYER, J., dissenting

nothing in the intervening 40 years to suggest that this fear was well founded. The Board and its *amici* have, by my count, identified only 14 cases in 40 years in which one State has entertained a private citizen's suit against another State in its courts. See Brief for Petitioner 46–47; Brief for State of Indiana et al. as *Amici Curiae* 13–14. In at least one of those 14 cases, moreover, the state court eventually agreed to dismiss the suit against its sister State as a matter of comity. See *Montaño v. Frezza*, 2017–NMSC–015, 393 P. 3d 700, 710. How can it be that these cases, decided over a period of four decades, show *Hall* to be unworkable?

The *Hall* issue so rarely arises because most States, like most sovereign nations, are reluctant to deny a sister State the immunity that they would prefer to enjoy reciprocally. Thus, even in the absence of constitutionally mandated immunity, States normally grant sovereign immunity voluntarily. States that fear that this practice will be insufficiently protective are free to enter into an interstate compact to guarantee that the normal practice of granting immunity will continue. See *Cuyler v. Adams*, 449 U. S. 433, 440 (1981).

Although many States have filed an *amicus* brief in this case asking us to overturn *Hall*, I can find nothing in the brief that indicates that reaffirming *Hall* would affront “the dignity and respect due sovereign entities.” *Federal Maritime Comm’n*, 535 U. S., at 769. As already explained, sovereign interests fall on both sides of this question. While reaffirming *Hall* might harm States seeking sovereign immunity, overruling *Hall* would harm States seeking to control their own courts.

Perhaps the majority believes that there has been insufficient reliance on *Hall* to justify preserving it. But any such belief would ignore an important feature of reliance. The people of this Nation rely upon stability in the law. Legal stability allows lawyers to give clients sound advice and allows ordinary citizens to plan their lives. Each time the Court overrules a case, the Court produces increased uncer-

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tainty. To overrule a sound decision like *Hall* is to encourage litigants to seek to overrule other cases; it is to make it more difficult for lawyers to refrain from challenging settled law; and it is to cause the public to become increasingly uncertain about which cases the Court will overrule and which cases are here to stay.

I understand that judges, including Justices of this Court, may decide cases wrongly. I also understand that later-appointed judges may come to believe that earlier-appointed judges made just such an error. And I understand that, because opportunities to correct old errors are rare, judges may be tempted to seize every opportunity to overrule cases they believe to have been wrongly decided. But the law can retain the necessary stability only if this Court resists that temptation, overruling prior precedent only when the circumstances demand it.

* * *

It is one thing to overrule a case when it “def[ies] practical workability,” when “related principles of law have so far developed as to have left the old rule no more than a remnant of abandoned doctrine,” or when “facts have so changed, or come to be seen so differently, as to have robbed the old rule of significant application or justification.” *Casey*, 505 U. S., at 854–855. It is far more dangerous to overrule a decision only because five Members of a later Court come to agree with earlier dissenters on a difficult legal question. The majority has surrendered to the temptation to overrule *Hall* even though it is a well-reasoned decision that has caused no serious practical problems in the four decades since we decided it. Today’s decision can only cause one to wonder which cases the Court will overrule next. I respectfully dissent.

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COCHISE CONSULTANCY, INC., ET AL. *v.* UNITED STATES EX REL. HUNT

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE ELEVENTH CIRCUIT

No. 18–315. Argued March 19, 2019—Decided May 13, 2019

The False Claims Act permits a private person, known as a relator, to bring a *qui tam* civil action “in the name of the [Federal] Government,” 31 U.S.C. § 3730(b), against “any person” who “knowingly presents . . . a false or fraudulent claim for payment” to the Government or to certain third parties acting on the Government’s behalf, §§ 3729(a), (b)(2). The Government may choose to intervene in the action. See §§ 3730(b)(2), (4). Two limitations periods apply to a “civil action under section 3730.” § 3731(b). An action must be brought within either 6 years after the statutory violation occurred, § 3731(b)(1), or 3 years after the “the official of the United States charged with responsibility to act in the circumstances” knew or should have known the relevant facts, but not more than 10 years after the violation, § 3731(b)(2). The period providing the later date serves as the limitations period.

In November 2013, respondent Hunt filed a complaint alleging that petitioners—two defense contractors (collectively, Cochise)—defrauded the Government by submitting false payment claims for providing security services in Iraq up until early 2007. Hunt claims that he revealed Cochise’s allegedly fraudulent scheme during a November 30, 2010, interview with federal officials about his role in an unrelated contracting fraud in Iraq. The United States declined to intervene in the action, and Cochise moved to dismiss the complaint as barred by the statute of limitations. Hunt countered that his complaint was timely under § 3731(b)(2). In dismissing the action, the District Court considered three potential interpretations: that § 3731(b)(2) does not apply to a relator-initiated action in which the Government elects not to intervene; that § 3731(b)(2) applies in nonintervened actions, and the limitations period begins when the relator knew or should have known the relevant facts; or that § 3731(b)(2) applies in nonintervened actions, and the limitations period begins when the Government official responsible for acting knew or should have known the relevant facts. The court rejected the third interpretation and found that Hunt’s complaint would be untimely under either of the first two. The Eleventh Circuit reversed and remanded, adopting the third interpretation.

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Held:

1. The limitations period in § 3731(b)(2) applies in a relator-initiated suit in which the Government has declined to intervene. Both Government-initiated suits under § 3730(a) and relator-initiated suits under § 3730(b) are “civil action[s] under section 3730.” Thus, the plain text of the statute makes the two limitations periods applicable in both types of suits. Cochise claims that starting a limitations period when the party entitled to bring a claim learns the relevant facts is a default rule of tolling provisions, so subsection (b)(2) should apply only when the Government is a party. But treating a relator-initiated, nonintervened suit as a “civil action under section 3730” for purposes of subsection (b)(1) but not subsection (b)(2) is at odds with fundamental rules of statutory interpretation. Because a single use of a statutory phrase generally must have a fixed meaning, see *Ratzlaf v. United States*, 510 U. S. 135, 143, interpretations that would “attribute different meanings to the same phrase” should be avoided, *Reno v. Bossier Parish School Bd.*, 528 U. S. 320, 329. Here, the clear text of the statute controls. Cochise’s reliance on *Graham County Soil & Water Conservation Dist. v. United States ex rel. Wilson*, 545 U. S. 409, is misplaced. Nothing in *Graham County* supports giving the phrase “civil action under section 3730” in § 3731(b) two different meanings depending on whether the Government intervenes. While the *Graham County* Court sought “a construction that avoids . . . counterintuitive results,” there the text “admit[ted] of two plausible interpretations.” *Id.*, at 421, 419, n. 2. Here, Cochise points to no other plausible interpretation of the text, so the “‘judicial inquiry is complete.’” *Barnhart v. Sigmon Coal Co.*, 534 U. S. 438, 462. Pp. 268–271.

2. The relator in a nonintervened suit is not “the official of the United States” whose knowledge triggers § 3731(b)(2)’s 3-year limitations period. The statute provides no support for such a reading. First, a private relator is neither appointed as an officer of the United States nor employed by the United States. Second, the provision authorizing *qui tam* suits is entitled “Actions by Private Persons.” § 3730(b). Third, the statute refers to “the” official “charged with responsibility to act in the circumstances.” Regardless of precisely which official or officials the statute is referring to, § 3731(b)(2)’s use of the definite article “the” suggests that Congress did not intend for private relators to be considered “the official of the United States.” See *Rumsfeld v. Padilla*, 542 U. S. 426, 434. Nor are private relators “charged with responsibility to act” in the sense contemplated by § 3731(b), as they are not required to investigate or prosecute a False Claims Act action. Pp. 271–272.

887 F. 3d 1081, affirmed.

THOMAS, J., delivered the opinion for a unanimous Court.

Theodore J. Boutrous, Jr., argued the cause for petitioners. With him on the briefs were *Lauren M. Blas*, *Amir C. Tayrani*, and *Duane A. Daiker*.

Earl N. Mayfield III argued the cause for respondent. With him on the brief were *Christopher M. Day*, *Sarah O. Schrup*, and *Jocelyn D. Francoeur*.

Matthew Guarnieri argued the cause for the United States as *amicus curiae* urging affirmance. With him on the brief were *Solicitor General Francisco*, *Assistant Attorney General Hunt*, *Deputy Solicitor General Stewart*, *Charles W. Scarborough*, and *Martin V. Totaro*.*

JUSTICE THOMAS delivered the opinion of the Court.

The False Claims Act contains two limitations periods that apply to a “civil action under section 3730”—that is, an action asserting that a person presented false claims to the United

*Briefs of *amici curiae* urging reversal were filed for the Chamber of Commerce of the United States of America et al. by *Jonathan G. Cedarbaum*, *Peter C. Tolsdorf*, *James C. Stansel*, and *Melissa B. Kimmel*; for the Coalition for Government Procurement by *Dan Himmelfarb*; for DRI—The Voice of the Defense Bar et al. by *Zach Chaffee-McClure*; and for the Washington Legal Foundation by *Corbin K. Barthold* and *Cory L. Andrews*.

Briefs of *amici curiae* urging affirmance were filed for the State of Indiana et al. by *Curtis T. Hill, Jr.*, Attorney General of Indiana, *Thomas M. Fisher*, Solicitor General, *Kian J. Hudson*, Deputy Solicitor General, and *Aaron T. Craft* and *Julia C. Payne*, Deputy Attorneys General, and by the Attorneys General for their respective States as follows: *Kevin G. Clarkson* of Alaska, *Leslie Rutledge* of Arkansas, *Xavier Becerra* of California, *William Tong* of Connecticut, *Kathleen Jennings* of Delaware, *Ashley Moody* of Florida, *Clare E. Connors* of Hawaii, *Thomas John Miller* of Iowa, *Jeff Landry* of Louisiana, *Dana Nessel* of Michigan, *Keith M. Ellison* of Minnesota, *Gurbir Singh Grewal* of New Jersey, *Joshua H. Stein* of North Carolina, *Mike Hunter* of Oklahoma, *Josh Shapiro* of Pennsylvania, *Sean D. Reyes* of Utah, *Mark R. Herring* of Virginia, *Robert W. Ferguson* of Washington, and *Josh Kaul* of Wisconsin; for the National Whistleblower Center by *Stephen M. Kohn*, *Michael D. Kohn*, and *David K. Colapinto*; for the Taxpayers Against Fraud Education Fund by *Tejinder Singh*; and for Joel D. Hesch by *Mr. Hesch, pro se*.

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States Government. 31 U. S. C. § 3731(b). The first period requires that the action be brought within six years after the statutory violation occurred. The second period requires that the action be brought within 3 years after the United States official charged with the responsibility to act knew or should have known the relevant facts, but not more than 10 years after the violation. Whichever period provides the later date serves as the limitations period.

This case requires us to decide how to calculate the limitations period for *qui tam* suits in which the United States does not intervene. The Court of Appeals held that these suits are “civil action[s] under section 3730” and that the limitations periods in § 3731(b) apply in accordance with their terms, regardless of whether the United States intervenes. It further held that, for purposes of the second period, the private person who initiates the *qui tam* suit cannot be deemed the official of the United States. We agree, and therefore affirm.

I

As relevant, the False Claims Act imposes civil liability on “any person” who “knowingly presents, or causes to be presented, a false or fraudulent claim for payment or approval” to the Government or to certain third parties acting on the Government’s behalf. 31 U. S. C. §§ 3729(a), (b)(2). Section 3730 authorizes two types of actions: First, the Attorney General, who “diligently shall investigate a violation under section 3729,” may bring a civil action against the alleged false claimant. § 3730(a). Second, a private person, known as a relator, may bring a *qui tam* civil action “for the person and for the United States Government” against the alleged false claimant, “in the name of the Government.” § 3730(b).

If a relator initiates the action, he must deliver a copy of the complaint and supporting evidence to the Government, which then has 60 days to intervene in the action. §§ 3730(b)(2), (4). During this time, the complaint remains sealed. § 3730(b)(2). If the Government intervenes, it as-

sumes primary responsibility for prosecuting the action, though the relator may continue to participate. §3730(c). Otherwise, the relator has the right to pursue the action. §§3730(b)(4), (c)(3). Even if it does not intervene, the Government is entitled to be served with all pleadings upon request and may intervene at any time with good cause. §3730(c)(3). The relator receives a share of any proceeds from the action—generally 15 to 25 percent if the Government intervenes, and 25 to 30 percent if it does not—plus attorney’s fees and costs. §§3730(d)(1)–(2). See *Vermont Agency of Natural Resources v. United States ex rel. Stevens*, 529 U. S. 765, 769–770 (2000).

At issue here is the Act’s statute of limitations, which provides:

“(b) A civil action under section 3730 may not be brought—

“(1) more than 6 years after the date on which the violation of section 3729 is committed, or

“(2) more than 3 years after the date when facts material to the right of action are known or reasonably should have been known by the official of the United States charged with responsibility to act in the circumstances, but in no event more than 10 years after the date on which the violation is committed,

“whichever occurs last.” §3731(b).

On November 27, 2013, respondent Billy Joe Hunt filed a complaint alleging that petitioners—two defense contractors (collectively, Cochise)—defrauded the Government by submitting false claims for payment under a subcontract to provide security services in Iraq “from some time prior to January 2006 until early 2007.” App. 43a. A little less than three years before bringing his complaint, Hunt was interviewed by federal agents about his role in an unrelated contracting fraud in Iraq. Hunt claims to have revealed Cochise’s allegedly fraudulent scheme during this November 30, 2010, interview.

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The United States declined to intervene in Hunt’s action, and Cochise moved to dismiss the complaint as barred by the statute of limitations. Hunt conceded that the 6-year limitations period in § 3731(b)(1) had elapsed before he filed suit on November 27, 2013. But Hunt argued that his complaint was timely under § 3731(b)(2) because it was filed within 3 years of the interview in which he informed federal agents about the alleged fraud (and within 10 years after the violation occurred).

The District Court dismissed the action. It considered three potential interpretations of § 3731(b). Under the first interpretation, § 3731(b)(2) does not apply to a relator-initiated action in which the Government elects not to intervene, so any such action must be filed within six years after the violation. Under the second interpretation, § 3731(b)(2) applies in nonintervened actions, and the limitations period begins when the relator knew or should have known the relevant facts. Under the third interpretation, § 3731(b)(2) applies in nonintervened actions, and the limitations period begins when “the official of the United States charged with responsibility to act in the circumstances” knew or should have known the relevant facts. The District Court rejected the third interpretation and declined to choose between the first two because it found that Hunt’s complaint would be untimely under either. The Court of Appeals reversed and remanded, adopting the third interpretation. 887 F. 3d 1081 (CA11 2018).

Given a conflict between the Courts of Appeals,* we granted certiorari. 586 U. S. 1018 (2018).

*Compare 887 F. 3d 1081, 1089–1097 (CA11 2018) (adopting the third interpretation), with *United States ex rel. Hyatt v. Northrop Corp.*, 91 F. 3d 1211, 1216–1218 (CA9 1996) (adopting the second interpretation); *United States ex rel. Sanders v. North Am. Bus Industries, Inc.*, 546 F. 3d 288, 293–294 (CA4 2008) (adopting the first interpretation); and *United States ex rel. Sikkenga v. Regence BlueCross BlueShield of Utah*, 472 F. 3d 702, 725–726 (CA10 2006) (same).

II

The first question before us is whether the limitations period in §3731(b)(2) is available in a relator-initiated suit in which the Government has declined to intervene. If so, the second question is whether the relator in such a case should be considered “the official of the United States” whose knowledge triggers §3731(b)(2)’s 3-year limitations period.

A

Section 3731(b) sets forth two limitations periods that apply to “civil action[s] under section 3730.” Both Government-initiated suits under §3730(a) and relator-initiated suits under §3730(b) are “civil action[s] under section 3730.” Thus, the plain text of the statute makes the two limitations periods applicable in both types of suits.

Cochise agrees with that view as to the limitations period in §3731(b)(1), but argues that the period in §3731(b)(2) is available in a relator-initiated suit only if the Government intervenes. According to Cochise, starting a limitations period when the party entitled to bring a claim learns the relevant facts is a default rule of tolling provisions, so subsection (b)(2) should be read to apply only when the Government is a party. In short, under Cochise’s reading, a relator-initiated, nonintervened suit is a “civil action under section 3730” for purposes of subsection (b)(1) but not subsection (b)(2).

This reading is at odds with fundamental rules of statutory interpretation. In all but the most unusual situations, a single use of a statutory phrase must have a fixed meaning. See *Ratzlaf v. United States*, 510 U. S. 135, 143 (1994). We therefore avoid interpretations that would “attribute different meanings to the same phrase.” *Reno v. Bossier Parish School Bd.*, 528 U. S. 320, 329 (2000). Here, either a relator-initiated, nonintervened suit is a “civil action under section 3730”—and thus subject to the limitations periods in subsections (b)(1) and (b)(2)—or it is not. It is such an action.

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Whatever the default tolling rule might be, the clear text of the statute controls this case.

Under Cochise’s reading, a relator-initiated civil action would convert to “[a] civil action under section 3730” for purposes of subsection (b)(2) if and when the Government intervenes. That reading cannot be correct. If the Government intervenes, the civil action remains the same—it simply has one additional party. There is no textual basis to base the meaning of “[a] civil action under section 3730” on whether the Government has intervened.

Cochise relies on our decision in *Graham County Soil & Water Conservation Dist. v. United States ex rel. Wilson*, 545 U. S. 409 (2005), which addressed the question whether §3731(b)(1) or federal common law provided the limitations period for §3730(h) retaliation actions. Section 3730(h) creates a cause of action for an employee who suffers retaliation for, among other things, assisting with the prosecution of a False Claims Act action. At the time, §3730(h) did not specify a time limit for bringing a retaliation action, so the question before us was whether the phrase “civil action under section 3730” in §3731(b) encompassed actions under §3730(h). We considered the statute “ambiguous because its text, literally read, admits of two plausible interpretations.” *Id.*, at 419, n. 2. One reading was that a “civil action under section 3730” includes §3730(h) actions because such actions arise under §3730. *Id.*, at 415. “Another reasonable reading” was that a “civil action under section 3730” “applies only to actions arising under §§3730(a) and (b)” because “§3731(b)(1) t[ies] the start of the time limit to ‘the date on which the violation of section 3729 is committed.’” *Ibid.* That reading had force because retaliation claims need not involve an actual violation of §3729. *Ibid.* Looking to statutory context, we explained that the phrase “‘civil action under section 3730’ means only those civil actions under §3730 that have as an element a ‘violation of section

3729,’ that is, §§ 3730(a) and (b) actions”—not § 3730(h) retaliation actions. *Id.*, at 421–422.

A relator-initiated, nonintervened suit arises under § 3730(b) and has as an element a violation of § 3729. *Graham County* supports our reading. Nonetheless, Cochise points out that in considering the statutory context, we discussed a similar phrase contained in § 3731(c) (now § 3731(d)), which stated: “In *any action brought under section 3730*, the United States shall be required to prove all essential elements of the cause of action, including damages, by a preponderance of the evidence.” (Emphasis added.) We explained that § 3731(c) “use[d] the similarly unqualified phrase ‘action brought under section 3730’ to refer only to §§ 3730(a) and (b) actions.” *Id.*, at 417–418. We then stated: “As [respondent] and the United States concede, the context of this provision implies that the phrase ‘any action brought under section 3730’ is limited to § 3730(a) actions brought by the United States and § 3730(b) actions in which the United States intervenes as a party, as those are the types of § 3730 actions in which the United States necessarily participates.” *Id.*, at 418.

Cochise contends that we should adopt a similar construction of the phrase “civil action under section 3730” in § 3731(b). We disagree. Our discussion of § 3731(c) was focused on “the context of th[at] provision” and on whether it could be read to impose the burden of proof on the Government even in cases where the Government did not participate. *Id.*, at 418. Those considerations do not apply here; there is nothing illogical about reading § 3731(b) to apply in accordance with its plain terms. Moreover, if a “civil action under section 3730” included only an action in which the Government participates for purposes of § 3731(b)(2), then we would be obligated to give it a like meaning for purposes of § 3731(b)(1). This would mean that a relator-initiated, non-intervened suit would be subject to neither § 3731(b)(1) nor § 3731(b)(2)—a reading Cochise expressly disclaims.

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See Brief for Petitioners 20, n. 3. Nothing in *Graham County* supports giving the same phrase in §3731(b) two different meanings depending on whether the Government intervenes.

Again pointing to *Graham County*, Cochise next contends that our reading would lead to “‘counterintuitive results.’” Brief for Petitioners 26. For instance, if the Government discovers the fraud on the day it occurred, it would have 6 years to bring suit, but if a relator instead discovers the fraud on the day it occurred and the Government does not discover it, the relator could have as many as 10 years to bring suit. That discrepancy arises because §3731(b)(2) begins its limitations period on the date that “the official of the United States charged with responsibility to act” obtained knowledge of the relevant facts. But we see nothing unusual about extending the limitations period when the Government official did not know and should not reasonably have known the relevant facts, given that the Government is the party harmed by the false claim and will receive the bulk of any recovery. See §3730(d). In any event, a result that “may seem odd . . . is not absurd.” *Exxon Mobil Corp. v. Allapattah Services, Inc.*, 545 U.S. 546, 565 (2005). Although in *Graham County* we sought “a construction that avoids . . . counterintuitive results,” there the text “admit[ted] of two plausible interpretations.” 545 U.S., at 421, 419, n. 2. Here, Cochise points to no other plausible interpretation of the text, so the “‘judicial inquiry is complete.’” *Barnhart v. Sigmon Coal Co.*, 534 U.S. 438, 462 (2002).

B

Cochise’s fallback argument is that the relator in a nonintervened suit should be considered “the official of the United States charged with responsibility to act in the circumstances,” meaning that §3731(b)(2)’s 3-year limitations period would start when the relator knew or should have known about the fraud. But the statute provides no support

for reading “the official of the United States” to encompass a private relator.

First, a private relator is not an “official of the United States” in the ordinary sense of that phrase. A relator is neither appointed as an officer of the United States, see U. S. Const., Art. II, § 2, cl. 2, nor employed by the United States. Indeed, the provision that authorizes *qui tam* suits is entitled “Actions by Private Persons.” § 3730(b). Although that provision explains that the action is brought “for the person and for the United States Government” and “in the name of the Government,” *ibid.*, it does not make the relator anything other than a private person, much less “the official of the United States” referenced by the statute. Cf. *Stevens*, 529 U. S., at 773, n. 4 (“[A] *qui tam* relator is, in effect, suing as a partial assignee of the United States” (emphasis deleted)).

Second, the statute refers to “the” official “charged with responsibility to act in the circumstances.” The Government argues that, in context, “the” official refers to the Attorney General (or his delegate), who by statute “shall investigate a violation under section 3729.” § 3730(a). Regardless of precisely which official or officials the statute is referring to, § 3731(b)(2)’s use of the definite article “the” suggests that Congress did not intend for any and all private relators to be considered “the official of the United States.” See *Rumsfeld v. Padilla*, 542 U. S. 426, 434 (2004) (explaining that the “use of the definite article . . . indicates that there is generally only one” person covered). More fundamentally, private relators are not “charged with responsibility to act” in the sense contemplated by § 3731(b), as they are not required to investigate or prosecute a False Claims Act action.

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For the foregoing reasons, the judgment of the Court of Appeals is

Affirmed.

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APPLE INC. *v.* PEPPER ET AL.CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE NINTH CIRCUIT

No. 17–204. Argued November 26, 2018—Decided May 13, 2019

Apple Inc. sells iPhone applications, or apps, directly to iPhone owners through its App Store—the only place where iPhone owners may lawfully buy apps. Most of those apps are created by independent developers under contracts with Apple. Apple charges the developers a \$99 annual membership fee, allows them to set the retail price of the apps, and charges a 30 percent commission on every app sale. Respondents, four iPhone owners, sued Apple, alleging that the company has unlawfully monopolized the aftermarket for iPhone apps. Apple moved to dismiss, arguing that the iPhone owners could not sue because they were not direct purchasers from Apple under *Illinois Brick Co. v. Illinois*, 431 U. S. 720. The District Court agreed, but the Ninth Circuit reversed, concluding that the iPhone owners were direct purchasers because they purchased apps directly from Apple.

Held: Under *Illinois Brick*, the iPhone owners were direct purchasers who may sue Apple for alleged monopolization. Pp. 278–288.

(a) This straightforward conclusion follows from the text of the antitrust laws and from this Court’s precedent. Section 4 of the Clayton Act provides that “any person who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue.” 15 U. S. C. § 15(a). That broad text readily covers consumers who purchase goods or services at higher-than-competitive prices from an allegedly monopolistic retailer. Applying § 4, this Court has consistently stated that “the immediate buyers from the alleged antitrust violators” may maintain a suit against the antitrust violators, *Kansas v. UtiliCorp United Inc.*, 497 U. S. 199, 207, but has ruled that *indirect* purchasers who are two or more steps removed from the violator in a distribution chain may not sue. Unlike the consumer in *Illinois Brick*, the iPhone owners here are not consumers at the bottom of a vertical distribution chain who are attempting to sue manufacturers at the top of the chain. The absence of an intermediary in the distribution chain between Apple and the consumer is dispositive. Pp. 278–281.

(b) Apple argues that *Illinois Brick* allows consumers to sue only the party who sets the retail price, whether or not the party sells the good or service directly to the complaining party. But that theory suffers from three main problems. First, it contradicts statutory text and

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precedent by requiring the Court to rewrite the rationale of *Illinois Brick* and to gut its longstanding bright-line rule. Any ambiguity in *Illinois Brick* should be resolved in the direction of the statutory text, which states that “any person” injured by an antitrust violation may sue to recover damages. Second, Apple’s theory is not persuasive economically or legally. It would draw an arbitrary and unprincipled line among retailers based on their financial arrangements with their manufacturers or suppliers. And it would permit a consumer to sue a monopolistic retailer when the retailer set the retail price by marking up the price it had paid the manufacturer or supplier for the good or service but not when the manufacturer or supplier set the retail price and the retailer took a commission on each sale. Third, Apple’s theory would provide a roadmap for monopolistic retailers to structure transactions with manufacturers or suppliers so as to evade antitrust claims by consumers and thereby thwart effective antitrust enforcement. Pp. 281–285.

(c) Contrary to Apple’s argument, the three *Illinois Brick* rationales for adopting the direct-purchaser rule cut strongly in respondents’ favor. First, Apple posits that allowing only the upstream app developers—and not the downstream consumers—to sue Apple would mean more effective antitrust enforcement. But that makes little sense, and it would directly contradict the longstanding goal of effective private enforcement and consumer protection in antitrust cases. Second, Apple warns that calculating the damages in successful consumer antitrust suits against monopolistic retailers might be complicated. But *Illinois Brick* is not a get-out-of-court-free card for monopolistic retailers to play any time that a damages calculation might be complicated. Third, Apple claims that allowing consumers to sue will result in “conflicting claims to a common fund—the amount of the alleged overcharge.” *Illinois Brick*, 431 U.S., at 737. But this is not a case where multiple parties at different levels of a distribution chain are trying to recover the same passed-through overcharge initially levied by the manufacturer at the top of the chain, cf. *id.*, at 726–727. Pp. 285–288.

846 F. 3d 313, affirmed.

KAVANAUGH, J., delivered the opinion of the Court, in which GINSBURG, BREYER, SOTOMAYOR, and KAGAN, JJ., joined. GORSUCH, J., filed a dissenting opinion, in which ROBERTS, C. J., and THOMAS and ALITO, JJ., joined, *post*, p. 288.

Daniel M. Wall argued the cause for petitioner. With him on the briefs were *Christopher S. Yates*, *Sadik Huseeny*, *Aaron T. Chiu*, and *J. Scott Ballenger*.

Solicitor General Francisco argued the cause for the United States as *amicus curiae* urging reversal. With him

Counsel

on the brief were *Assistant Attorney General Delrahim, Deputy Solicitor General Stewart, Principal Deputy Assistant Attorney General Finch, Zachary D. Tripp, Kristen C. Limarzi, and Adam D. Chandler.*

David C. Frederick argued the cause for respondents. With him on the brief were *Aaron M. Panner, Gregory G. Rapawy, Mark C. Rifkin, and Matthew M. Guiney.**

*Briefs of *amici curiae* urging reversal were filed for ACT | The App Association by *Brian Scarpelli*; for BSA | The Software Alliance by *Andrew J. Pincus, Michael B. Kimberly, and Matthew A. Waring*; for the Chamber of Commerce of the United States of America by *Theodore J. Boutrous, Jr., and Daniel G. Swanson*; for the Computer & Communications Industry Association by *Beth Brinkmann, Thomas O. Barnett, and Derek Ludwin*; for the R Street Institute by *Charles Duan*; and for the Washington Legal Foundation by *Cory L. Andrews and Corbin K. Barthold.*

Briefs of *amici curiae* urging affirmance were filed for the State of Texas et al. by *Ken Paxton*, Attorney General of Texas, *Jeffrey C. Mateer*, First Assistant Attorney General, *Kyle D. Hawkins*, Solicitor General, *J. Campbell Barker*, Deputy Solicitor General, *Joseph D. Hughes*, Assistant Solicitor General, *Kim Van Winkle*, Deputy Chief, Antitrust Division, *Brett Fulkerson*, *David M. Ashton*, and *Nicholas G. Grimmer*, Assistant Attorneys General, and *Tom Miller*, Attorney General of Iowa, *Nathan Blake*, Deputy Attorney General, and *Max M. Miller*, Assistant Attorney General, and by the Attorneys General for their respective jurisdictions as follows: *Mark Brnovich* of Arizona, *Leslie Rutledge* of Arkansas, *Xavier Becerra* of California, *Cynthia H. Coffman* of Colorado, *George Jepsen* of Connecticut, *Matthew Denn* of Delaware, *Karl A. Racine* of the District of Columbia, *Pamela Jo Bondi* of Florida, *Christopher M. Carr* of Georgia, *Russell Suzuki* of Hawaii, *Lawrence G. Wasden* of Idaho, *Lisa Madigan* of Illinois, *Curtis T. Hill, Jr.*, of Indiana, *Jeff Landry* of Louisiana, *Janet T. Mills* of Maine, *Brian E. Frosh* of Maryland, *Maura Healey* of Massachusetts, *Lori Swanson* of Minnesota, *Jim Hood* of Mississippi, *Timothy C. Fox* of Montana, *Douglas J. Peterson* of Nebraska, *Hector Balderas* of New Mexico, *Barbara D. Underwood* of New York, *Wayne Stenehjem* of North Dakota, *Josh Shapiro* of Pennsylvania, *Peter F. Kilmartin* of Rhode Island, *Alan Wilson* of South Carolina, *Marty J. Jackley* of South Dakota, and *Mark R. Herring* of Virginia; for the American Antitrust Institute by *Richard M. Brunell, Randy M. Stutz, and Jay L. Himes*; for Antitrust Scholars by *Lauren M. Weinstein, Robert K. Kry, and William J. Cooper*; and for Open Markets Institute by *Deepak Gupta and Jonathan E. Taylor.*

Thomas R. McCarthy and Jeffrey M. Harris filed a brief for Verizon Communications Inc. as *amicus curiae.*

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JUSTICE KAVANAUGH delivered the opinion of the Court.

In 2007, Apple started selling iPhones. The next year, Apple launched the retail App Store, an electronic store where iPhone owners can purchase iPhone applications from Apple. Those “apps” enable iPhone owners to send messages, take photos, watch videos, buy clothes, order food, arrange transportation, purchase concert tickets, donate to charities, and the list goes on. “There’s an app for that” has become part of the 21st-century American lexicon.

In this case, however, several consumers contend that Apple charges too much for apps. The consumers argue, in particular, that Apple has monopolized the retail market for the sale of apps and has unlawfully used its monopolistic power to charge consumers higher-than-competitive prices.

A claim that a monopolistic retailer (here, Apple) has used its monopoly to overcharge consumers is a classic antitrust claim. But Apple asserts that the consumer-plaintiffs in this case may not sue Apple because they supposedly were not “direct purchasers” from Apple under our decision in *Illinois Brick Co. v. Illinois*, 431 U. S. 720, 745–746 (1977). We disagree. The plaintiffs purchased apps directly from Apple and therefore are direct purchasers under *Illinois Brick*. At this early pleadings stage of the litigation, we do not assess the merits of the plaintiffs’ antitrust claims against Apple, nor do we consider any other defenses Apple might have. We merely hold that the *Illinois Brick* direct-purchaser rule does not bar these plaintiffs from suing Apple under the antitrust laws. We affirm the judgment of the U. S. Court of Appeals for the Ninth Circuit.

I

In 2007, Apple began selling iPhones. In July 2008, Apple started the App Store. The App Store now contains about 2 million apps that iPhone owners can download. By contract and through technological limitations, the App Store is the only place where iPhone owners may lawfully buy apps.

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For the most part, Apple does not itself create apps. Rather, independent app developers create apps. Those independent app developers then contract with Apple to make the apps available to iPhone owners in the App Store.

Through the App Store, Apple sells the apps directly to iPhone owners. To sell an app in the App Store, app developers must pay Apple a \$99 annual membership fee. Apple requires that the retail sales price end in \$0.99, but otherwise allows the app developers to set the retail price. Apple keeps 30 percent of the sales price, no matter what the sales price might be. In other words, Apple pockets a 30 percent commission on every app sale.

In 2011, four iPhone owners sued Apple. They allege that Apple has unlawfully monopolized “the iPhone apps aftermarket.” App. to Pet. for Cert. 53a. The plaintiffs allege that, via the App Store, Apple locks iPhone owners “into buying apps only from Apple and paying Apple’s 30% fee, even if” the iPhone owners wish “to buy apps elsewhere or pay less.” *Id.*, at 45a. According to the complaint, that 30 percent commission is “pure profit” for Apple and, in a competitive environment with other retailers, “Apple would be under considerable pressure to substantially lower its 30% profit margin.” *Id.*, at 54a–55a. The plaintiffs allege that in a competitive market, they would be able to “choose between Apple’s high-priced App Store and less costly alternatives.” *Id.*, at 55a. And they allege that they have “paid more for their iPhone apps than they would have paid in a competitive market.” *Id.*, at 53a.

Apple moved to dismiss the complaint, arguing that the iPhone owners were not direct purchasers from Apple and therefore may not sue. In *Illinois Brick*, this Court held that direct purchasers may sue antitrust violators, but also ruled that indirect purchasers may not sue. The District Court agreed with Apple and dismissed the complaint. According to the District Court, the iPhone owners were not

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direct purchasers from Apple because the app developers, not Apple, set the consumers' purchase price.

The Ninth Circuit reversed. The Ninth Circuit concluded that the iPhone owners were direct purchasers under *Illinois Brick* because the iPhone owners purchased apps directly from Apple. According to the Ninth Circuit, *Illinois Brick* means that a consumer may not sue an alleged monopolist who is two or more steps removed from the consumer in a vertical distribution chain. See *In re Apple iPhone Antitrust Litig.*, 846 F. 3d 313, 323 (2017). Here, however, the consumers purchased directly from Apple, the alleged monopolist. Therefore, the Ninth Circuit held that the iPhone owners could sue Apple for allegedly monopolizing the sale of iPhone apps and charging higher-than-competitive prices. *Id.*, at 324. We granted certiorari. 585 U. S. 1003 (2018).

II

A

The plaintiffs' allegations boil down to one straightforward claim: that Apple exercises monopoly power in the retail market for the sale of apps and has unlawfully used its monopoly power to force iPhone owners to pay Apple higher-than-competitive prices for apps. According to the plaintiffs, when iPhone owners want to purchase an app, they have only two options: (1) buy the app from Apple's App Store at a higher-than-competitive price or (2) do not buy the app at all. Any iPhone owners who are dissatisfied with the selection of apps available in the App Store or with the price of the apps available in the App Store are out of luck, or so the plaintiffs allege.

The sole question presented at this early stage of the case is whether these consumers are proper plaintiffs for this kind of antitrust suit—in particular, our precedents ask, whether the consumers were “direct purchasers” from Apple. *Illinois Brick*, 431 U. S., at 745–746. It is undisputed that the iPhone owners bought the apps directly from Apple. There-

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fore, under *Illinois Brick*, the iPhone owners were direct purchasers who may sue Apple for alleged monopolization.

That straightforward conclusion follows from the text of the antitrust laws and from our precedents.

First is text: Section 2 of the Sherman Act makes it unlawful for any person to “monopolize, or attempt to monopolize, or combine or conspire with any other person or persons, to monopolize any part of the trade or commerce among the several States, or with foreign nations.” 26 Stat. 209, 15 U. S. C. §2. Section 4 of the Clayton Act in turn provides that “*any person* who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue . . . the defendant . . . and shall recover threefold the damages by him sustained, and the cost of suit, including a reasonable attorney’s fee.” 38 Stat. 731, 15 U. S. C. §15(a) (emphasis added). The broad text of §4—“any person” who has been “injured” by an antitrust violator may sue—readily covers consumers who purchase goods or services at higher-than-competitive prices from an allegedly monopolistic retailer.

Second is precedent: Applying §4, we have consistently stated that “the immediate buyers from the alleged antitrust violators” may maintain a suit against the antitrust violators. *Kansas v. UtiliCorp United Inc.*, 497 U. S. 199, 207 (1990); see also *Illinois Brick*, 431 U. S., at 745–746. At the same time, incorporating principles of proximate cause into §4, we have ruled that *indirect* purchasers who are two or more steps removed from the violator in a distribution chain may not sue. Our decision in *Illinois Brick* established a bright-line rule that authorizes suits by *direct* purchasers but bars suits by *indirect* purchasers. *Id.*, at 746.¹

The facts of *Illinois Brick* illustrate the rule. Illinois Brick Company manufactured and distributed concrete

¹ *Illinois Brick* held that the direct-purchaser requirement applies to claims for damages. *Illinois Brick* did not address injunctive relief, and we likewise do not address injunctive relief in this case.